* Throughout this book we're going to be faced with the complication that occurs when companies split their shares—two-for-one, three-for-one, etc. If you invest $1,000 in 100 shares of Company X, a $10 stock, and there's a two-for-one split, then suddenly you own 200 shares of a $5 stock. Two years later, let's say, the stock price has risen to $10 a share and you've doubled your money. Yet to a person who didn't know about the split, it would appear as if you'd made nothing—the stock you bought for $10 is still selling for $10.

In the case of Subaru the stock never actually sold for $312. There had been an eight-for-one split just before the high, so the stock was actually at $39 ($312÷8) at the time. To conform with this price, all presplit levels must be divided by 8. In particular, the $2 low in 1977 is now a "split-adjusted" 25 cents per share ($2÷8 = $0.25), although the stock never actually sold for 25 cents.

Companies generally prefer not to have their share prices too high in absolute dollar terms, which is one reason why stock splits are declared.